



THE SOUND OF construction crews working in commercial spaces has been a constant accompaniment to life in a metro city for the past few years. Earlier, this din was associated with some shopping mall coming up; then it was co-working spaces; in recent times, it has mostly been hospitals—either existing ones being given a glitzy makeover or new ones being built.

But such developments cost money—which the private healthcare space has in ample amounts thanks to healthy investor interest, especially from private equity (PE) players. Take the recent case of Manipal Health Enterprises, in which PE major Temasek acquired a majority stake for

₹16,400 crore, at a valuation of ₹40,000 crore. Temasek, which already held an 18 per cent stake in the hospital chain, acquired another 41 per cent. “We are excited about the growth prospects in the healthcare services sector in India, and Manipal hospitals is an important part of this sector. In line with our governance approach, we will continue to look towards the Board and management team to drive the busi-

ness, including looking at organic and inorganic growth opportunities,” Ravi Lambah, Head of Investment Group and Head-India at Temasek, tells *BT*.

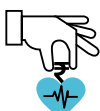
According to consulting firm EY, the healthcare sector has attracted investments of more than \$8 billion over the past five years; this is around 5 per cent of the total PE investments in the country in that period. In 2022, PE firms invested around \$2.5 billion, while the number was around \$2.1 billion in 2021, per EY. “Clearly, we are seeing that there is an accelerated pace in PE investment [into healthcare] post-Covid-19. We are seeing 2.5-3x of the investment value of what it was three to four years ago,” says Kaivaan Movdawalla, Partner and Healthcare Sector Leader at EY India.

Industry analysts also see the Temasek-Manipal deal as part of a burgeoning trend of global PEs doing control deals in the Indian healthcare sector, especially in the past two to three years. This mirrors the global trend where many large PE firms have done control deals in the healthcare sector. The trend is most prevalent in the US and Europe, with PE majors such as Blackstone, Apollo, Carlyle, KKR & Co. and Warburg Pincus being some of the largest investors. Besides hospitals, globally the larger PE control deals have been in nursing homes, health information technology, staffing companies, medical supplies and health tech.

WHY GLOBAL PE FIRMS ARE INVESTING IN INDIAN HOSPITALS



Growing demand: The demand for quality healthcare services in India is increasing rapidly due to a rise in chronic diseases, a growing middle class population, and an increase in healthcare spending. This makes the hospital sector an attractive investment opportunity



Favourable regulatory environment: The Indian government has introduced several measures to encourage private sector investments in the healthcare sector, including tax benefits, subsidies and the establishment of SEZs



Improved infrastructure: India's healthcare infrastructure has significantly improved in recent years, with more hospitals being built and equipped with modern facilities and tech



Potential for high returns: The Indian hospital sector offers high growth potential and attractive returns on investment, which make it an attractive destination for global PE firms

FOCUS ON INDIA

But why are global PE firms homing in on the healthcare space in India? One reason is robust returns. For instance, KKR, which exited Max Healthcare in 2022, got a return of nearly 5x. In fact, 2022 was a year of marquee healthcare exits, which made up about 16 per cent of India's total exit value at \$3.5 billion, says consulting firm Bain & Company's 'India Private Equity Report 2023'. Besides KKR's \$1.6-billion public market exit from Max Healthcare, the other large exits were Everstone's from Sahyadri Hospitals, and Carlyle's and British International Investment's IPO-led exits